rupees in your hand? Tautological as it might seem, it is simply an old-fashioned way of saying that the currency note is legal tender and will be accepted as a medium of exchange on the trust of the Reserve Bank.

The critical word here is ‘trust’, which is the core of any system of money. Paper money originated on the basis of trust, trust that the holder of a note could go to a bank and exchange the note for an equivalent value of gold or silver. If that trust—that the bank would redeem its pledge without fail—held, the note would circulate as a medium of exchange without anyone ever going to the bank to exchange the note for precious metal.

Sure, that explanation of the evolution of money based on trust is persuasive enough. But, is there a deeper meaning to the trust underlying the governor’s promise on the currency note beyond the assurance that the note is legal tender? Shouldn’t trust also extend to an assurance that the Reserve Bank will maintain the purchasing power of the currency by keeping inflation under check? Isn’t price stability, in fact, the reason why almost everywhere in the world, the power to print currency is entrusted with unelected technocrats in a central bank rather than with elected politicians in the government? Wouldn’t central banks forfeit the trust of their people if they failed to maintain the purchasing power of their currency?

These questions surrounding this broader interpretation of trust become all the more meaningful if we note that the issuance of currency by central banks is no longer governed by the theology of the gold standard—the belief that a central bank must issue currency equivalent only to the value of the precious metal in its vaults. The gold standard was abandoned during the Great Depression of the 1930s and what central banks issue today is fiat currency—that is, currency which derives its value not from any gold or precious metal held by the central bank but from a government decree.

The Reserve Bank too has been part of this global shift from the gold standard to fiat currency. In fact, the original Reserve Bank Act which, coincidentally dates back to 1934, the Great Depression era, prescribed a proportional reserve system whereby, of the total value of notes issued by the Reserve Bank, at least 40 per cent was to be backed by gold bullion and